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In Our View / SnoCo PUD

Whistle blown on no-bid contracts

By The Herald Editorial Board

It's a good thing we have whistle-blowers. Without them, without their courage to speak up, the public can be left with decisions and situations that range from questionable to out-right damaging and dangerous.

One celebrated whistleblower was Charles Hamel, who moved to Marysville in 2009 and died here in April. [Herald Writer Eric Stevick's news obituary of Hamel](#) in Wednesday's edition noted how the oil industry insider, risking his career and harassment, brought the attention of national media and Congress to financial, environmental and health concerns regarding oil pipelines and oil tankers in Alaska.

Another whistle-blower now has raised questions about \$16 million in no-bid contracts that the Snohomish County Public Utility District let to a former employee who is now running a clean-energy company. One of the PUD's own employees, Anthony Curtis, raised concerns about the contracts before the PUD's board of commissioners. To the credit of the commissioners, the board ordered an independent investigation of the contracts with 1Energy, the company created in 2011 by former PUD employee Dave Kaplan, as [reported Sunday by Herald Reporter Dan Catchpole](#). Also to the board's credit, on Tuesday [the commissioners put on hold yet another contract](#) with 1Energy, at least until the conclusion of the investigation.

Beginning in 2011, after Kaplan left the PUD, the PUD contracted with 1Energy as the public utility pursued breakthroughs in smart-grid and energy storage technology. Much of the contracts involve the PUD's [Modular Energy Storage Architecture](#) program, massive lithium-ion batteries that are seen as a vital part of the PUD's program to include renewable energy in its power portfolio. The batteries can store electricity generated by wind and other renewable sources at peak times for later use when their energy production drops.

No specific allegations about the contracts themselves have been made. The concern is the potential for problems that can arise from no-bid contracts. The PUD defended the decision not to seek bids, noting that this is an emerging technology with few companies experienced and qualified to provide the needed services.

That may be true. And 1Energy, in the end, may prove to be a well-qualified contractor. But the decision to skip the bidding process leaves the PUD open to charges of favoritism. And the \$16 million in contracts, with more to come, requires a process that is transparent and allows for greater public confidence, particularly for a new technology that is of immense importance to the PUD and its ratepayers.

The investigation should move forward, with the PUD and its board paying close attention to its findings. At the least, all future contracts should be awarded through an open bidding process. The transparency and

confidence that process provides is worth the additional time and cost involved.

In the end, Anthony Curtis' whistle likely did the PUD and its ratepayers a huge favor.

Clarifications: The above editorial has been changed to reflect two clarifications. An investigation into the no-bid contracts was started prior to Anthony Curtis' second request before the PUD board of commissioners. And no contract between the PUD and IEnergy was signed until after Dave Kaplan had left the utility.

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